

would cushion their stock portfolio from a bear market, commodity funds became highly correlated with stocks and crashed further than stocks.

Another example was the correlation shift that occurred between the U.S. stock market and foreign stock markets after the September 11, 2001, terrorist attacks. The U.S. stock market closed for a week before opening significantly lower. But that did not stop all other major international markets from falling sharply. The correlations among global stock markets increase during a crisis, usually with every market going down.

Correlations between investments can change sharply and without warning in an unpredictable world. You may think your portfolio is hedged, but it is not. There is no known way to design a portfolio that is fully hedged against market downturns while fully participating in market upturns. There is no free lunch on Wall Street.

You will not find investments that have consistently negative correlation with the U.S. stock and bond markets and are also expected to generate real returns, but there are investments that have varying correlation with U.S. assets and do deliver real returns. These investments should be looked at closely. If you pack in enough varying correlation investments in your portfolio, something will be working in your favor most of the time.

GUIDELINES FOR ASSET SELECTION

The broad asset classes considered in [Part Two](#) include U.S. stocks and foreign stocks, U.S. bonds and foreign bonds, real estate, commodities, commodity futures, currencies, and collectibles. Categories within these asset classes include, but are not limited to, European, Pacific Rim, and emerging markets stocks; government bonds, mortgages, and corporate bonds; residential and commercial real estate; commodity funds that follow indexes; and gold, rare coins, and fine art. Some asset-class categories can be further divided into styles such as growth and value stocks, large and small stocks, investment-grade and non-investment-grade bonds, and other categories. We examine all these possibilities.

The purpose of this chapter is to give you a set of guidelines for isolating potential asset classes and the funds that represent them. These guidelines are applied to broad asset classes, their sub-categories, and styles within categories. You should have a list of investments for possible inclusion in a broadly diversified portfolio after reading through [Part Two](#).